DAVID VICTOR KILPIN

And

DVK GOLD MINING PVT LTD

Versus

LINCOLN CAPITAL PVT LTD

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
CHILIMBE J
HARARE 16 June 2025 & 5 February 2026

Application for leave to appeal

R.T. Mutero for the applicants
S. Banda with for the respondent

CHILIMBE J

INTRODUCTION

[1] This is an application for leave to appeal brought in terms of s 43 (2) (d) of the High Court Act [Chapter 7:06] ("the High Court Act"). The targeted decision being judgment (HH 231-25) of this court issued under my hand wherein I dismissed the defendants` special plea in the main matter. The application is opposed.

[2] The facts of the main dispute were set out morefully in the said judgment so I will not repeat same here. Other than to state that in the underlying matter, respondent (as plaintiff – lender), instituted proceedings against the applicants (as defendants-borrowers) over an alleged unpaid loan balance of US$107,459,56. The defendants unsuccessfully raised a plea in bar whose ruling they now seek leave to appeal against on the indicative grounds set out below; -

THE SPECIAL PLEA

[3] It was contended by the applicants firstly, that the loan agreement was invalid and unenforceable on the basis of illegality by virtue of sections 6 and 26 of the Microfinance Act [Chapter 24:30] ("the Microfinance Act"). Secondly, applicants argued that the facility was established in November 2021 rather than in December of 2021. As at the earlier date, the respondent was not yet registered as a microfinance institution in terms of the Microfinance Act.

[4] The finding on this point was that (a) the respondent was, at the material time, licenced to conduct microfinance business, (b) that the facility in question was established after the respondent obtained a proper licence and that in any event as (c),sections 6 and 26 of the Microfinance Act could not be raised as an automatic bar in a special plea given the exceptions in s 6 (3) and 26 (3) of the same Act. It was also my conclusion that the applicants had failed to discharge the required onus in a special plea in proving that the respondent was not licenced at the material time.

[5] Herein, the draft grounds of appeal attack the above findings of fact. The applicants insist that the loan facility was established in November, rather than December of 2021.And that the court`s finding to the contrary therefore amounted to a misdirection. On the court`s view on the exceptions in sections 6 (3) and 26 (3) of the Microfinance Act, the applicants took the point that the court "**decided the matter"** on a point neither raised nor argued by the parties.

[6] In that regard, the judgment had to be vacated because the court overreached its mandate by raising the issue *mero motu* in violation of the principle set out in decisions such as *Proton Bakery (Pvt) Ltd v Takaendesa* 2005 (1) ZLR 60 (S) and *Servcor (Pvt) Ltd v Muchineripi SC 74-17.* Before proceeding, I set out-for convenience- the relevant provisions of the Microfinance Act hereunder; -

> **Section 6 of the Microfinance Act.**
>
> 6 Prohibitions in relation to conduct of microfinance business
>
> (1) No person—
>
> (*a*) shall conduct any microfinance business unless he or she is registered in terms of this Act;
>
> (*b*) shall be registered as a microfinance institution unless that person is a company;
>
> (*c*) registered as a moneylender in terms of this Act shall conduct deposit-taking microfinance business.

(2) Any person who contravenes subsection (1)(*a*) or (*c*) shall be guilty of an offence and liable to a fine not exceeding level fourteen or to imprisonment for a period not exceeding five years or to both such fine and such imprisonment.

(3) Without derogating from subsection (2), where a person advances a loan or credit to another person in the course of microfinance business that is conducted in contravention of subsection (1)(*a*)—

(*a*) no interest shall be payable on the loan or advance; and

(*b*) the capital sum of the loan or advance shall not be recoverable from the borrower unless a competent court, on application by the lender, has condoned the lender's failure to comply with subsection (1).

(4) Subsection (3) applies whether or not there has been a prosecution for an offence referred to in subsection (2).

Section 26 of the Microfinance Act

26 Requirements for lending by microfinance institutions

(1) Before a microfinance institution makes a loan or advances credit to a borrower, the institution shall take reasonable steps to ensure that—

(*a*) the borrower will be able to fulfil his or her obligations under the agreement while still being able to meet the necessary living expenses of himself or herself and his or her family; and

(*b*) the capital sum of the loan or advance shall be recoverable from the borrower in a manner that will be agreed upon between the microfinance institution and borrower, failure of which, the loan or advance will be recoverable through an application by the lender to a competent court on the terms that safeguard the interests of both parties

[Paragraph amended by Act 6 of 2019]

(*c*) a credit control advisor provides the borrower with the necessary information to enable him or her to manage his or her credit.

(2) A microfinance institution shall allow a borrower an opportunity to read the loan agreement or to have it read to him or her, before he or she signs it, and shall provide the borrower with a copy of the agreement when he or she had signed it.

(3) If a microfinance institution makes a loan or advances credit without complying with subsection (1) or (2)—

(*a*) no interest shall be payable on the loan or advance; and

(*b*) the capital sum of the loan or advance shall not be recoverable from the borrower unless a competent court, on application by the microfinance institution, has condoned the institution's failure to comply with the provision concerned.

[7] On the licence, Mr *Mutero* argued that the court`s finding on evidence amounted to requiring the applicants to prove a negative. There was no onus to prove a negative-he submitted citing the court`s reasoning in *Mangwana v Kasukuwere & Ors* 418-23. Lastly, Mr *Mutero* submitted that the loan agreement, being a local transaction as defined by s 3 of the Exchange Control (Exclusive Use of Zimbabwe Dollar for Domestic Transactions) Regulations, 2019, SI 212 of 2022 could only be settled in local currency. For that reason, the respondent`s claim was incompetent in that it was founded exclusively in United States Dollars. It had, by right, to provide for the option of settlement in local currency.

[8] Mr *Mutero* relied, in that argument, on this court`s decisions of *Nyahuma's Law Golden Stairs Chambers v Busha* HH 304-21 and *Manifest Security (Pvt) Ltd v Zesa Holdings (Pvt) Ltd* HH 18-24. Not even the redeeming provisions of the Exchange Control Act [Chapter 22:05] ("Exchange Control Act"]. Statutory Instrument 118A of 22 (Presidential Powers (Temporary Measures), (Amendment of Exchange Control Act) Regulations, 2022 which permitted lenders to recover loans in the currency advanced, could not avail the respondent, argued Mr *Mutero*.

[9] This argument did not find favour with the court. In the main, I dismissed it because the applicants tendered insufficient evidence to disprove respondent`s contention that the claim was based on a renegotiated agreement framed exclusively in United States Dollars. This finding has now been impugned by the applicants on the grounds that the court did not pay regard to the transactional history behind the claim.

[10] Before the court was a succession of renegotiated or restructured loans. Their genesis being the facility of 25 November 2021 in terms of which respondent advanced US$50,000.00 and RTGS$10,300.00 to first applicant. As such, the subsequent variations or restructurings could not escape this base configuration of the loan into a US dollar-local currency split. It mattered not, according to the applicants, that under the last variation dated 20 July 2022, first applicant undertook to settle the "outstanding balance" of US90,000.

[11] Mr *Banda* (for the respondent) defended the court`s judgment. He drew attention to what he considered the court`s ratio decidendi in paragraph 35 of HH 231-25 -namely that the

applicants tendered insufficient evidence to support their special plea. In that respect, the envisaged appeal did not enjoy prospects of success given the reluctance of an appellate court (as stated in *Barros v Chimpondah* 1999 (1) ZLR 58 (S)), to unduly interfere with the factual findings of a trial court.

[12] Mr *Banda* further supported the court`s findings that the obligation sounded exclusively in US dollars as consistent with the parties` contractual provisions. Counsel strongly urged the court to consider the balance of convenience which favoured resolving the dispute on the merits.

[13] The appeal was the typical recalcitrant debtor`s ploy to evade responsibility, counsel contended. He sustained this argument in his prayer for an order of punitive costs against the applicants. Before returning to these arguments, I will set out the principles governing applications for leave to appeal.

THE PRINCIPLES GOVERNING APPLICATIONS FOR LEAVE TO APPEAL

[14] It is necessary to commence an examination of the applicable legal principles with a recognition of two key considerations set out in s 43 of the High Court Act. Before doing so, I set hereunder, the said provision which states that; -

> **43 Right of appeal from High Court in civil cases**
> (1) Subject to this section, an appeal in any civil case shall lie to the Supreme Court from any judgment of the High Court, whether in the exercise of its original or its appellate jurisdiction.
> (2) No appeal shall lie—
> (*a*) from an order allowing an extension of time for appealing from a judgment;
> (*b*) from an order of a judge of the High Court in which he refuses an application for summary judgment and gives unconditional leave to defend an action;
> (*c*) from—
> (i) an order of the High Court or any judge thereof made with the consent of the parties; or
> (ii) an order as to costs only which by law is left to the discretion of the court, without the leave of the High Court or of the judge who made the order or, if that has been refused, without the leave of a judge of the Supreme Court;
> (*d*) from an interlocutory order or interlocutory judgment made or given by a judge of the High

> Court, without the leave of that judge or, if that has been refused, without the leave of a judge of the Supreme Court, except in the following cases—
> (i) where the liberty of the subject or the custody of minors is concerned;
> (ii) where an interdict is granted or refused;
> (iii) in the case of an order on a special case stated under any law relating to arbitration.

[15] Section 43 has been variously interpreted. In all instances, s 43 (1) stipulates the right of appeal, a sacrosanct principle of our law which was articulated as follows by the Supreme Court per MALABA DCJ (as he then was) in *CFI Retail (Pvt) Ltd v Eric Masese Nyika* SC 8-16 at page 6; -

> "In the case of *Zimbabwe Mining Development Corporation & Anor v African Consolidated Resources PLOC* SC 1-10, CHIDYAUSIKU CJ stated the following: "The right of appeal is fundamental and critical to our justice system. Where the law confers the right of appeal on a litigant it should not be rendered nugatory or abrogated without due process. Due process requires that a case proceeds to finality, namely the giving of a judgment. Once a judgment is given, the losing party who has a right to appeal is entitled, if he so wishes to note an appeal." See also *Claudius Marimo and Anor v The Minister of Justice, Legal and Parliamentary Affairs* S-25-06."

[16] This right is not absolute. It is tempered by the pragmatism which must characterize-as an inherent and indispensable standard- the entire process of litigation. Rule 44 (2) of the Commercial Court Rules" in fact limits these right-on substantive matters- in the following terms; -

> 44. Appeals from the court
> (1) The provisions of Part VI of the Supreme Court Rules, 2018 shall apply mutatis mutandis in relation to appeals from the court.
> (2) **An appeal from the decision of the court shall not suspend the operation of the decision appealed against**, unless the court or judge directs otherwise on application by the aggrieved party.
> (3) Subject to the provisions of the High Court Act [Chapter 7:06], **no appeal shall lie from an order or directive issued at a case management meeting and interlocutory orders**. [Marked in bold for emphasis]

[17] The below passage from the oft-cited case of *Pretoria Garrison Institutes v Danish Variety Products* 1948(1) SA 839(A) at p 867 amply demonstrates part of the reasons behind restrictions to the right of appeal; -

> "A wholly unrestricted right of appeal from every judicial pronouncement might well lead to serious injustices. For, apart from the increased power which it would probably give the wealthier litigant to wear out his opponent, it might put a premium on delaying and obstructionist tactics. This latter consideration has, I imagine been the predominant one in leading legislators to try to restrain the bringing of appeals from orders of a preparatory or procedural character arising in the course of a legal battle."

[18] In that respect, the courts have crafted guidelines to govern the treatment of applications for leave to appeal. These are normally listed as follows; -[1]

i. that there are reasonable prospects of success;
ii. that the balance of convenience favours the grant of such leave;
iii. that the matter is of substantial importance to one or both parties;
iv. that there is a point of law, or divergence of authorities on it that will be settled by the appeal court;
v. for a judgment sounding in money, that the amount in dispute is not trifling.

[19] MAFUSIRE J (as he then was) opined on these guidelines to some detail in *Mahere v Gappah* HH 633-22. I cite the learned judge`s remarks in paragraphs *[21]* to *[23]* of that judgment; -

> *"[21]* No single factor is exclusively determinant or decisive by itself. They have to be considered conjunctively and cumulatively. One or some or more factors may be more predominant in some cases than they may be in others. For example, in some cases, the absence of prospects of success may completely overshadow all the other factors, yet in other cases their existence may compensate for any inadequacies in the other factors. The court has a wide discretion. It exercises it judiciously. It

[1] See *Pichanick NO v Paterson* 1993 (2) ZLR 163 (H) and *Chikafu v Dodhill* (Pvt) Ltd & Ors 2009 (1) ZLR 293 (S)

should endeavour to be fair to all the parties involved: see *Read v Gardiner & Anor* SC70/19.

[22] It is the duty of the court to examine closely the proposed grounds of appeal and, among other things, dispel the notion that the appeal is not a stratagem to harass an opponent by delaying the proceedings and stave off the day of reckoning. By its very nature, an appeal against an interlocutory judgment calls for greater scrutiny because it is potentially wasteful. It is an impeachment of merely an intermediary point that may arise during the course of the proceedings. The right of appeal to the Supreme Court in ***any*** civil case against ***any*** judgment of this court is guaranteed by s 43 of the High Court Act [*Chapter 7:06*][2]. But that same right becomes altogether proscribed by the same provision in certain circumstances, for example, the refusal of summary judgment where an unconditional leave to defend is granted[3]. It is severely restricted or delimited in interlocutory orders or judgments, except in the special instances listed[4]. The restriction or delimitation is that the leave of the judge who passed the judgment sought to be appealed is required, which, if refused, the leave of a judge of the Supreme Court may be sought.

[23] On the scale of convenience, the court tries to balance the advantages of an immediate appeal on the interlocutory matter against the immediate prosecution of the action: see *Pichanick*, *supra*, and *RioZim Ltd*, *supra*. Sometimes it is much faster and comparatively much cheaper for the trial to complete and for the loser, if he or she or it be so inclined, to take the matter on appeal, at the end of the trial, than to allow appeals piece meal. There is always the chance of an interlocutory appeal falling flat on its face and the matter coming back to the court for the resumption of the trial. To allow an appeal, metaphorically, 'at every drop of a hat', does not bode well for the administration of justice. Obviously, every case depends on its own merits."

ANALYSIS OF THE ARGUMENTS

[2] Sub-section (1)
[3] Sub-section (2)(b)
[4] Sub-section (2)(d)

[20] I will now address the arguments against the principles crafted in *Pichanick v Paterson* and *Chikafu v Dodhill* (supra); -

that there are reasonable prospects of success

[21] The applicants` case amounts, as so often happens in such cases, to a forceful expression of a different opinion on the factual findings of the court. I found nothing further in Mr *Mutero*`s arguments pointing to what amounted to more than just that. The prospects he adverted to were merely as latent as any normal possibility that an appellate court may reach a different conclusion on a matter.

[22] Put differently, it was not contended that the judgment in HH 231-25 was so irredeemably flawed as to warrant the immediate interference by the appellate court. The prospects of success were neither glaringly persuasive nor incontestably invincible. In any event, the law, as amply stated in numerous decisions including *Barros v Chimpondah*, qualify the appellate court`s interference on the trial court's findings on matters of fact. Moreso in the present matter where *viva voce* testimony was received, examined and assessed by the court. Further, the judgment recorded the following conclusion; -

> *"[21]* This observation is after all but a truism. To my mind, having trimmed those issues which bait the court to delve into the merits, 2 potentially dispositive issues are generated by the special pleas. First, the registration status of the plaintiff and its compliance with s 6 of the Microfinance Act. Second, whether plaintiff breached s 26 of the same Act by failing to avail the loan agreement to first defendant.
>
> *[22]* The rest of the issues regarding duress, misrepresentation and currency applicable either (i) draw the discussion into the merits, or (ii) can be addressed via the 2 main issues. And with specific reference to the currency issue, this was neither framed with certainty, nor defined with clarity in heads of argument and closing submissions filed on behalf of the defendants. Nonetheless, I will return to deal with this point morefully before concluding.

> *[31]* In *Nan Brooker v Mudhanda & Ors* SC 5-18, the Supreme Court held that the defendant bears an evidentiary burden to prove a special plea. I found nothing in the testimony of Dr Kilpin that came close toward proving that (a) plaintiff operated under the defect of non-registration, (b) that it failed to explain and give a copy of the agreement to first defendant in terms of s 26 of the Microfinance Act and (c) that USD loan repayments were out of scope under the loan agreements."

[23] On the question of proof of a licence, Mr *Mutero*`s argument suggests that counsel focussed on form rather than substance in criticising the court`s observations obiter in paragraph [31] of the judgment. The material conclusions were made in paragraph [34] of HH 231-25. The approach of classifying an averment as positive or negative was qualified in the appeal decision of *Kasukuwere v Mangwana & 2 Ors* SC 78-23 (a matter in which Mr *Mutero* appeared). GUVAVA JA cited with approval, at paragraph [54], the famous dictum of GUBBAY CJ in *Musanhi* v *Mt Darwin Rushinga Co-operative Union* 1997 (1) ZLR 120 at page 123 that; -

> "The learned Judge President took the view that as the respondent could not be required to prove a negative, A that is, non-delivery, the onus was on the appellant to prove the deliveries on a preponderance of probabilities. This he had failed to do. Counsel for the appellant argued before this court that it is not a rule of our law that the onus of proof cannot lie upon the party who makes a negative allegation. It still has to be determined who can be said to assert and who to deny. I agree with that submission. <u>It is not very helpful, in my opinion, to ask whether a party is making a positive or negative allegation. This is because by adroit linguistic manipulation a positive averment can always be couched into a negative statement</u>."[5] [Underlined for emphasis]

<u>*Points (ii) to (v) in paragraph [18] above.*</u>

[24] On the balance of convenience, my view is that it will profit the administration of justice as well as the interests of both sides to dispute if the trial is allowed to proceed. I have taken

[5] See also *Kadhani v Hunyani Paper and Packaging Ltd & Anor* SC 118-98.

into account the issues before the court, the contestations, the nature of evidence likely to be led, and the number of witnesses to be called. The trial may be concluded in a day or two and judgment rendered, all matters being equal, within a month or two thereafter.

[25] The trial is neither afflicted nor impeded by a stubborn point of law that requires the appellate court`s immediate rescue. The matter is important to both parties and the amount in question-at US$60,000 is not trifling. Naturally, the matter is indeed important to both parties-the lender intends to collect whilst the borrowers seek to defend their estate from such obligation.

[26] Further, herein, it is not in dispute that the lender advanced funds under a 2021-2022 transaction. The matter remains unresolved and the account therefore open in respondent`s books. On the other hand, notwithstanding the obvious rights to appeal discussed above, the protest raised by Mr *Banda* that the applicants might be sheltering from obligation requires a keener ear. It is a speculation that can be easily addressed by resolving the dispute on the merits.

DISPOSITION

[27] I am not persuaded that the applicants have made a proper case for leave to appeal the interlocutory ruling. Nor am I moved by the respondent`s prayer that the applicants be levied with admonitory costs. The authority cited by Mr *Banda* in support of this prayer -*Mahembe v Matambo* 2003 (1) ZLR 149 (H) expressly held that punitive costs must be levied only in extraordinary circumstances characterised by extreme derelict and mala fides. Such facts have not been herein demonstrated.

Accordingly, it is ordered that; -

1. The application for leave to appeal the judgment in HH 231-25 be and is hereby dismissed.
2. The first and second applicants jointly or severally, the one paying and the other being absolved, are to pay the costs of suit at the ordinary scale.

Mandipa, Makwara and Chikukwa-applicants` legal practitioners
Nenjy Nyamapfene Legal Practice-respondent`s legal practitioners.

[CHILIMBE J___3/2/25]